1.2

Economic Sectors

Cambridge IGCSE Business

Primary Sector	Secondary Sector
Tertiary Sector	Private Sector
Public Sector	UK Trends

Economic Sectors

All economic activity is classified into sectors. Understanding which sector a business operates in, and whether it is privately or publicly owned, is essential for IGCSE Business.

- Classify businesses into primary, secondary and tertiary sectors
- Distinguish private sector from public sector
- Explain UK trends in the balance between sectors
- Give real examples of businesses in each sector

Primary, Secondary & Tertiary Sectors

Extracting · Manufacturing · Services

The Three Economic Sectors – Definitions and Examples

All production is classified into three sectors depending on the stage of production. The UK has shifted dramatically from primary and secondary towards tertiary over the last 50 years.

The Three Economic Sectors — Where Businesses Operate

PRIMARY

Extracts natural resources from the earth or sea

- Mining · quarrying · oil drilling
- Farming · fishing · forestry
- Sheep farming in New Zealand

✓ Provides raw materials for other sectors
✗ Subject to weather, disease, depletion

SECONDARY

Converts raw materials into finished or semi-finished goods

- Manufacturing · construction
- Toyota car factory
- Tesco food processing plant

✓ Adds significant value to raw materials
✗ Capital intensive · global competition

TERTIARY

Provides services to businesses and consumers

- Retail · banking · education
- NHS · law firms · restaurants
- Amazon · HSBC · Uber

✓ Fastest growing sector in the UK
✗ Labour intensive · hard to measure quality

UK trend: Primary ↓ Secondary ↓ Tertiary ↑ — now accounts for 80% of UK employment and GDP

The Chain of Production: Primary → Secondary → Tertiary

PRIMARY
Iron ore mined in Australia

→

SECONDARY
Steel made in Sheffield

→

SECONDARY
Car built at Nissan Sunderland

→

TERTIARY
Sold by Lookers car dealership

Exam tip: The chain of production links all three sectors. Raw materials (primary) become goods (secondary) then reach customers through services (tertiary). Each stage adds value.

Private Sector vs Public Sector

Who owns the business and why it matters

Private Sector vs Public Sector – Ownership and Objectives

The private sector is owned by individuals and businesses. The public sector is owned and run by the government. They have very different objectives and sources of funding.

Private Sector vs Public Sector

PRIVATE SECTOR

- Owned by private individuals or shareholders
- Main aim: PROFIT for owners and shareholders
- Examples: Tesco · Amazon · HSBC · Rolls-Royce · Apple
- Funded by: sales revenue, private investment, loans

PUBLIC SECTOR

- Owned and run by the government on behalf of citizens
- Main aim: PROVIDE SERVICES to the public
- Examples: NHS · state schools · police · BBC · HMRC
- Funded by: taxation and government borrowing

	Private Sector	Public Sector
Main objective	Profit for owners and shareholders	Provide services for the public good
Ownership	Private individuals or shareholders	Government (on behalf of citizens)
Funding	Sales revenue, loans, share capital	Taxation and government borrowing
Examples	Tesco · Apple · HSBC · Rolls-Royce	Public hospitals · Public schools · Police · Public transportation (bus)
Competition	Yes — competes with other businesses	Usually none — government monopoly

Exam tip: Privatisation = government sells public sector business to private owners (e.g. British Gas sold in 1986). Nationalisation = government takes over private business.

Key Revision Checklist – 1.2 Economic Sectors

Primary	Extracts natural resources: mining, farming, fishing, oil drilling. Subject to weather and depletion
Secondary	Converts raw materials into goods: manufacturing, construction, food processing
Tertiary	Provides services: retail, banking, healthcare, education, transport. Now 80% of UK economy
Private sector	Owned by individuals/shareholders. Main aim: profit. Examples: Tesco, Apple, HSBC
Public sector	Owned by government. Main aim: provide services. Funded by taxation. Examples: NHS, schools, police
UK trend	De-industrialisation: primary and secondary declining, tertiary growing — the UK is now a service economy
Chain of production	Primary → Secondary → Tertiary: ore → steel → car → dealership. Each stage adds value